

place the confusing Financial Year and Assessment Year, and has for the first time defined the virtual digital space to include emails, cloud storage and smartphones for search and seizure provisions, though that has sparked considerable debate.

In a post-Budget interaction with *Business Today*, Central Board of Direct Taxes (CBDT) Chairperson Ravi Agarwal underlined that after April 1, I-T administration and tax regulation would become simpler. “There could be some teething issues. We are trying to minimise them,” he said, stressing that the tax administration is gearing up to implement the new law.

ASSESSING THE IMPACT

68 | While the new Act was being seen as a *fait accompli* with not much change anticipated, what has piqued interest is the release of the draft forms and rules by the CBDT which reveal several tweaks that could raise individuals’ tax liability in some cases and require employers to review salary structures.

For individual taxpayers, the most important changes are those relating to the realignment of PAN (permanent account number) thresholds and rationalisation of the perquisite limits that have been brought in line with the cost of living. House rent exemption has been extended to more cities and conditions to avail of leave travel allowance have been relaxed (*see table*).

Should salaried taxpayers review their tax options after these changes? That will depend on a case-to-case basis. Further, while some key changes proposed in the draft rules would impact only those using the old income tax regime, others relating to transport

allowances could impact those in the exemption-free new tax regime as well.

Sandeep Jhunjhunwala, Partner at professional services firm Nangia Global, says the upward revision of perquisite valuation, which had remained unchanged for decades, represents a substantive recalibration of the taxation framework for salaried employees. “Consequently, for salaried individuals with structured compensation and significant eligible deductions, the old regime may now present a more compelling and potentially advantageous option, warranting a careful evaluation,” he says.

Importantly, while the number

of cities eligible for the higher 50% HRA exemption under the old tax regime has been expanded to eight now, the taxpayer will have to disclose the relationship between the tenant-assessee and landlord under new draft Form 124. “This could act as a meaningful deterrent against fictitious and inflated rental claims, as it introduces transparency at the first point of reporting,” says Jhunjhunwala. In fact, a huge number of HRA claims have in the past become a point of investigation by the CBDT.

Sumit Singhania, Partner at Deloitte India, says there are some areas that are new and aim to simplify compliances. “Gener-

KEY CHANGES

- ▶ Introduces the concept of ‘Tax Year’—defined as the 12-month period of the financial year from April 1
- ▶ Provides a definition of virtual digital assets for search and seizure procedures
- ▶ Gives more clarity on transfer pricing and safe harbour rules
- ▶ Expands HRA exemption for individuals, has higher perquisite limits
- ▶ There are also changes in transaction values for PAN
- ▶ Editable and pre-filled forms are available for easier compliance for certain salaried persons

